coefficient of variation at 60.1. Thus a combination of lower returns and higher volatility in the 2000s vis-à-vis the 1990s could have contributed to the reduced share of shares and debentures in total financial savings.

- This, coupled with high inflation, could also be one of the reasons why **gold** has become a ***'safe haven'*** investment in recent times. Acquisition of gold by the households in the country tends to have a negative impact on savings and on household financial investments.

Domestic Savings

The volume and composition of domestic savings in India have undergone significant changes over the years. The savings rate (gross domestic savings as percentage of gross domestic product at market prices) averaged **18.6** per cent in the 1980s and **23** per cent in the 1990s. The savings rate exceeded **30** per cent for the first time in 2004-05 and has remained above that level ever since. It peaked in 2007-08 at **36.8** per cent and reached an eight-year low of **30.8** per cent in 2011-12 (the latest period for which complete figures are available).

Savings come from **three sources**, viz. *households*, the *private corporate sector*, and the *public sector*. On average, households accounted for nearly *three-fourths* of gross domestic savings during the period 1980-81 to 2011-12. The share declined somewhat in recent years, and in the period from 2004-05 to 2011-12, it averaged 70.1 per cent of total savings. Savings of the private corporate sector accounted for 15 per cent of total savings on an average between 1980-81 and 2011-12. However, during the years 2004-05 to 2011-12, their share increased to 23.2 per cent. The public sector accounted for 10 per cent of total savings on average between 1980-81 and 2011-12. It has been progressively declining and during 2004-05 to 2011-12, public savings as a ratio of total savings averaged 6.7 per cent. Figure 1.5 shows the trends in contribution of the household, private corporate, and public sectors to total savings since 1980-81.

Within ***households***, the share of financial savings vis-à-vis physical savings has been declining in recent years. Financial savings take the form of bank deposits, life insurance funds, pension and provident funds, shares and